

that the demand for investment-grade baseball cards would likely explode someday. This was long before the market reflected this trend. He invested heavily when the market was “asleep,” in his words. And he sold out all his holdings—including all his Mickey Mantle rookie cards—at the top of the market. Another acquaintance, a manager of a department store, always studied trade journals to learn how to make his store more productive. Later he leveraged his reading habits into investing in growth stocks in the retailing area.

How much time do nonmillionaires allocate to planning and managing? Not enough! As previously stated, much less than millionaires. Although millionaires have much more experience in making investment decisions, they allocate significantly more hours than do nonmillionaires in an effort to become even better investors. That is one of the main reasons that millionaires remain wealthy.

Business owners like Mrs. Rule certainly have more freedom than people who are not self-employed. She can and does leverage her business knowledge with her personal investing habits. She can pick her area of business and the one she wants to study. Often employees don't have this luxury. But even among those who do have significant knowledge about excellent investment opportunities, many do not leverage this knowledge. Consider the following examples:

♦ A highly productive sales professional (we will call him Mr. Willis) had Wal-Mart as a client for more than ten years. All during this time, Wal-Mart was exploding in growth and value. How many shares of Wal-Mart did Mr. Willis, the six-figure-earning sales professional, ever purchase? Zero. Yes, zero, even though he had considerable firsthand knowledge of his client's success and an annual six-figure income. But he did purchase a foreign luxury car every two years during this time.

♦ A high-income-producing marketing manager, Mr. Petersen, was employed in the high-tech field. But he never invested a dollar in Microsoft or any other growth company. Never, in spite of having considerable knowledge about many of the firms in the technology industry.

♦ The owner of a printing business enjoyed having one of the leading beverage companies in America as a customer. The customer bought millions of dollars' worth of printing from him annually. But how much money has the printer invested in his customer's equity offerings? Zero.